No.

# In The Supreme Court Of The United States

**IN RE: ENFORCEMENT OF PHILIPPINE FORFEITURE JUDGMENT AGAINST ALL ASSETS OF ARELMA, S.A., FORMERLY HELD AT MERRILL LYNCH, PIERCE, FENNER & SMITH, INCORPORATED, INCLUDING, BUT NOT LIMITED TO, ACCOUNT NUMBER 16**

Jose Duran, on his behalf and as Representative of a Class of Judgment Creditors of the Estate of Ferdinand E. Marcos,

Movant.

v.

United States of America,

Respondent.

**APPLICATION FOR STAY OF JUDGMENT TO ALLOW FILING OF A PETITION FOR WRIT OF CERTIORARI TO THE UNITED STATES COURT OF APPEALS FOR THE SECOND CIRCUIT**


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**Application to Stay the Judgment to Allow the Filing of a Petition for Certiorari to the United States Court of Appeals for the Second Circuit**

To the Honorable Sonia Sotomayor:

Jose Duran moves pursuant to 28 U.S.C. 2101(f) and Rule 22 of the Rules of the United States Supreme Court for an Order staying the Judgment in this case to allow his counsel time to file a Petition for Certiorari and for this Court to rule thereon. In support of this Application, Duran asserts:

1. This is a proceeding brought by the United States pursuant to 28 U.S.C. § 2467 to recognize and enforce a 2009 forfeiture judgment of a Philippine court.

2. On January 12, 2024, the United States District Court for the Southern District of New York granted summary judgment recognizing the Philippine judgment. ECF # 273.

3. Duran appealed the judgment to the Second Circuit. On August 18, 2025, the Second Circuit Court of Appeals denied Duran's appeal in a 40-page opinion and entered a judgment. Dkts. 172 and 175. *See* Exhibit A.

4. Duran's counsel filed a Petition for Rehearing and Rehearing *En Banc* on September 24, 2025. Dkt. 182.

5. By Order dated October 16, 2025, the Second Circuit denied Duran's Petition. Dkt. 183.

6. On October 21, 2025, Duran filed with the Second Circuit a Motion to Stay the Mandate stating he intends to file a Petition for Certiorari with the United States Supreme Court. Dkt. 184.

7. On October 27, 2025, the Second Circuit denied Duran's Motion. Dkt. 188. The Mandate was then filed with the Clerk of the United States Court for the Southern District of New York. ECF # 278.

8. At issue in this litigation is whether the Class of 9,539 Filipino human rights victims, who hold a $2 billion judgment against the Estate of Ferdinand E. Marcos, may execute on about $40 million of funds Marcos held in an account at Merrill Lynch, Pierce, Fenner & Smith in New York City.

9. This Court addressed one procedural aspect of this dispute in 2008 in its decision in *Republic of the Philippines v. Pimentel*, 553 U.S. 851, which held that a federal interpleader to adjudicate entitlement to the funds could not proceed because the Republic, which exercised its sovereign immunity from suit, was a required party under FRCP 19(b).

10. The Republic then pursued forfeiture of the funds in its own court, the Sandiganbayan, asserting *in rem* jurisdiction over the funds which were in *custodio legis* of a federal court in Hawaii. The funds have never been in the Philippines, and it was stipulated that the Sandiganbayan never had actual or constructive possession

of the funds. The Republic never gave notice of the forfeiture proceeding to the Class members. Op. at 22.

11. Duran opposed recognition of the foreign forfeiture judgment on several grounds including lack of subject matter jurisdiction, the bar of the statute of limitations, and failure to give notice to the Class.

**The Petition for Certiorari Will Raise Issues of Substantial Importance**

12. In its opinion denying the Class's Section 2467 defenses, the Second Circuit contravened decisions of this Court, contradicted its own precedential decisions, and is in direct conflict with decisions of other circuit courts.

13. The opinion is the first in American jurisprudence to recognize the *in rem* jurisdiction of a foreign court over property held in *custodio legis* of a U.S. federal court. It contravenes multiple decisions of this Court as far back as *Rose v. Himely*, 8 U.S. 241, 277 (1808) holding that the United States will not recognize a foreign judgment based on *in rem* jurisdiction where the foreign court did not have actual or constructive possession of the *res*. In contravention of *Milliken v. Meyer*, 311 U.S. 457, 462-64 (1940), the Second Circuit ruled that the Sandiganbayan's legal conclusion under Philippine law governed (Op. at 21) without any consideration of whether the foreign court's asserted *in rem* jurisdiction offended American "traditional notions of fair play and substantial justice." In 2006, the Ninth Circuit had ruled as to these same funds that the "Republic has no jurisdiction

over the *rem*, which is in the United States, and any judgment made without proper jurisdiction is unenforceable in the United States." *Merrill Lynch v. ENC Corp.*, 467 F.3d 1205, 1207. More demonstrative is the Ninth Circuit's holding in *U.S. v. Nasri*, 119 F.4th 1172 (2024): "The Supreme Court has repeatedly held that when a sovereign fails to secure property in an *in rem* proceeding, the resulting judgment is void and violates due process."

14. Despite the Class being the adjudicated owner in possession of the funds when the Republic first sought to forfeit the funds in 2004, the Republic never gave notice to the Class members. Op. at 23. The Second Circuit ignored explicit language in Section 2467 which required the foreign nation to give "notice of the proceedings to all persons with an interest in the property <u>in sufficient time to enable such persons to defend</u>." (emphasis added) Instead, it ruled that whether someone is an interested person is decided when the court enters final judgment – in this case 2009 – not when the proceeding is initiated. Op. at 24-25. Even though the Class remained as owner in possession of some of the funds until 2010 (based on a 2009 court ruling), the Second Circuit reasoned that this Court's 2008 decision in *Pimentel* stripped the Class of its interest and right to receive notice. *Id.* The ruling is directly contrary to decisions of this Court (*e.g. Davis v. FEC*, 554 U.S. 724, 734 (2008)), the Second Circuit (*e.g. Torres v. $36,256.80 US Currency*, 25 F.3d 1154, 1158 (2d Cir. 1994)), and other Circuit courts (*e.g. Rio Grande Found. v. Oliver,* 57 F.4th 1147,

1162 ($10^{th}$ Cir. 2023)) which hold that standing – and therefore the right to receive notice -- is exclusively a threshold issue.

15. The alleged wrongdoing –the transfer of the funds from a Swiss bank account to the Merrill Lynch account in the name of a Marcos *alter ego* – dates to 1972. The Republic brought three legal proceedings in United States federal courts in 1986 seeking the funds, thus establishing that it had a full and present cause of action. Op. at 19. In ruling that the five-year statute of limitations in 28 U.S.C. § 2462 does not bar recognition of the foreign judgment, the Second Circuit held that Section 2467 created a "claim" in favor of the United States and the five-year period does not accrue until the Attorney General initiates an "application" for recognition of the foreign judgment. Op. at 14-15. But there is no language in Section 2467 giving the United States a "claim", and certainly not a cause of action since the Attorney General is not vindicating the unlawful violation of a right against the United States. The Second Circuit distinguished this Court's holding in *SEC v. Gabelli*, 568 U.S. 442, 448 (2013) (the five-year period under Section 2462 accrues when the plaintiff has a complete and present cause of action) as being limited to federal agency cases where an agency penalty assessment precedes a federal enforcement action. Op. at 9. The ruling is plainly contrary to *Corner Post, Inc. v. Bd of Governors*, 603 U.S. 799, 800 (2024) which held that "[t]he Court's precedent

[*Gabelli*] treats this definition of accrual as the 'standard rule for limitations periods.'"

16. The Second Circuit violated this Court's ruling in *Hilton v. Guyot*, 159 U.S. 113, 166-67 (1895) by substantively changing the decretal foreign judgment. The *res* specified and adjudicated in the Sandiganbayan was an account at Merrill Lynch Asset Management. The pertinent language in the decretal judgment states:

> … Partial Summary Judgment is hereby rendered declaring all the assets, investments, securities, properties, shares, interests, and funds of Arelma, Inc., **presently under management and/or in an account at the Meryll Lynch Asset Management, New York, U.S.A., in the estimated aggregate amount of US$3,369,975.00 as of 1983, plus all interests and all other income that accrued thereon**, …

(emphasis added) This account was one of two maintained by Arelma. The second was at Merrill Lynch, Pierce, Fenner & Smith. It is funds from the second account which the Class has levied upon. In April 2009, the date of the decretal judgment, the two firms, still bearing the words "Merrill Lynch" in their names were independently owned by different financial conglomerates. The opinion contains a misrepresentation[1] that there was just one Arelma account (Op. at 4 and 5), and concludes that there was a "clerical error" in the name of the account stated in the decretal judgment. Op. at 31. In an *in rem* proceeding, the property specified in the

[1] The opinion also misrepresents that the Class agreed that all Marcos' assets in Arelma S.A are proceeds of his criminal activity. Op. at 5. The Class disputes this conclusion. No court has ruled as to the original source of the Arelma funds.

complaint, here the account at Merrill Lynch Asset Management, is the defendant. An American court cannot *sua sponte* substitute a different property for the *res* upon which the foreign court's jurisdiction – and evidence – depended under the guise of a "clerical error." Nor may it make any substantive change to the decretal foreign judgment.

**A Stay Is Essential to Maintain the *Status Quo Ante***

17. Unless a stay of the judgment is granted, it is likely the Republic will execute on the funds from Merrill Lynch, Pierce, Fenner & Smith and transfer those funds to the Philippines.

18. The United States or the Republic will then contend that the Class no longer has an interest in the funds and its Petition for Certiorari is moot.

19. The Second Circuit's denial of the Class's motion to stay the mandate may have the effect of depriving this Court from undertaking a review of the many errors in the Circuit's opinion, principally its misapplication of numerous decisions of this Court.

20. The Class will be prejudiced by allowing the Republic to execute on its judgment since there are no other Marcos assets in the United States for the Class to execute to satisfy the Class's judgment. Execution on Marcos assets in the Philippines is barred since Philippine courts have refused to recognize the Class's judgment.

21. Opposing counsel's consent to the instant Motion was requested but denied.

WHEREFORE, Duran prays that your Honor stay the judgment entered in the United States District Court for the Southern District of New York to allow Duran time in which to file his Petition for Certiorari and for this Court to rule thereon.

Respectfully submitted,

Dated: October 30, 2025

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